GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
ASSESSMENT UNIT, INCOME TAX DEPARTMENT
(Faceless Assessment u/s 144B of the Income-tax Act, 1961)

Name of the assessee	:	Kalpanik Traders Private Limited
Address	:	Unit 101, Specimen Arcade, Imaginary Road, Pune - 411 000 (fictitious)
PAN	:	AAACK1234F
Assessment Year	:	2022-23
Status	:	Domestic Company
Section under which order is passed	:	147 r.w.s. 144B of the Income-tax Act, 1961
Jurisdictional AO	:	ACIT, Circle 1(1), Pune
Date of order	:	28/03/2024
DIN & Document No.	:	ITBA/AST/S/147/2023-24/1099999801(1)

ASSESSMENT ORDER

ORDER UNDER SECTION 147 READ WITH SECTION 144B OF THE INCOME-TAX ACT, 1961

1. The assessee is a domestic company engaged in the wholesale trade of textiles and yarn. The return of income for A.Y. 2022-23 was filed on 28.10.2022 declaring total income of Rs.18,50,000/-. The return was processed u/s 143(1) of the Income-tax Act, 1961 (hereinafter 'the Act').

2. Information was received through the Insight portal that during F.Y. 2021-22 the assessee had received unsecured loans of Rs.45,00,000/- from three entities whose creditworthiness was doubtful. After following the procedure laid down in section 148A and with the approval of the specified authority u/s 151, notice u/s 148 was issued on 30.03.2023. In response, the assessee filed its return on 28.04.2023 declaring the same income.

3. Notices u/s 143(2) and 142(1) were issued through the e-proceeding facility. The assessee filed replies from time to time, which have been placed on record and considered. A show-cause notice cum draft assessment order was issued on 12.03.2024 and the reply of the assessee dated 19.03.2024 has been considered.

4. **Addition on account of unexplained cash credit u/s 68**

4.1 On verification of the bank statements it was noticed that the assessee received unsecured loans aggregating Rs.45,00,000/- from M/s Alpha Sample Fincap, M/s Beta Dummy Ventures and M/s Gamma Placeholder Credits. The assessee was asked to prove the identity and creditworthiness of the lenders and the genuineness of the transactions.

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4.2 The assessee furnished only the names and PANs of the lenders. Notices u/s 133(6) issued to the lenders remained uncomplied. The returns of the lenders show meagre income, and the funds were received in their accounts just before being transferred to the assessee. The AO noted that the assessee failed to discharge the onus cast on it by section 68. The AO relies on the decision in PCIT v. Specimen Holdings Ltd. [2018] 999 ITR 99 (SC) (fictitious citation).

4.3 Accordingly, the sum of Rs.45,00,000/- is treated as unexplained cash credit u/s 68 of the Act and is added to the total income of the assessee. The addition is chargeable to tax at the rate prescribed u/s 115BBE.

5. **Disallowance u/s 14A read with Rule 8D**

5.1 The assessee has earned exempt income of Rs.11,40,000/- by way of share of profit from a partnership firm, which is exempt u/s 10(2A). The average value of investments yielding exempt income is Rs.8,00,00,000/-. The assessee has not made any suo motu disallowance u/s 14A.

5.2 The claim of the assessee that no expenditure was incurred to earn the exempt income is not acceptable, since common administrative expenses are debited to the profit and loss account. Applying Rule 8D(2)(ii), 1% of the average value of investments, i.e. Rs.8,00,000/-, is disallowed u/s 14A and added to the total income.

6. **Disallowance u/s 40(a)(ia) for non-deduction of tax at source**

6.1 The assessee made payments of Rs.40,00,000/- towards freight and transport charges to five transport contractors without deducting tax at source u/s 194C. The assessee claimed that the payees had furnished declarations u/s 194C(6), but did not produce the declarations or the PANs of the payees.

6.2 As the provisions of section 40(a)(ia) are attracted, 30% of the payments of Rs.40,00,000/-, i.e. Rs.12,00,000/-, is disallowed and added to the total income of the assessee.

7. Subject to the above remarks, the total income of the assessee is computed as under:

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COMPUTATION OF INCOME - A.Y. 2022-23	Amount (Rs.)
Returned income	18,50,000
Add: Unexplained cash credit u/s 68 (para 4)	45,00,000
Add: Disallowance u/s 14A r.w.r. 8D (para 5)	8,00,000
Add: Disallowance u/s 40(a)(ia) (para 6)	12,00,000
Assessed total income	**83,50,000**
Income chargeable at normal rate (excluding the addition u/s 68)	38,50,000
Tax on the above @ 25.168% (22% u/s 115BAA + surcharge 10% + cess 4%)	9,68,968
Income chargeable u/s 115BBE (addition u/s 68)	45,00,000
Tax u/s 115BBE @ 78% (60% + surcharge 25% + cess 4%)	35,10,000
Total tax payable	**44,78,968**
Less: Taxes paid on the returned income (TDS 2,10,000 + advance tax 2,00,000 + self-assessment tax 55,608)	4,65,608
Balance tax payable	40,13,360
Add: Interest u/s 234B @ 1% per month for 24 months (April 2022 to March 2024) on Rs.40,13,300	9,63,192
Net demand payable	**49,76,552**

8. Assessed u/s 147 r.w.s. 144B of the Act. Demand notice u/s 156 and a copy of this order are issued. Interest is charged as per the provisions of the Act. Penalty proceedings u/s 270A of the Act are initiated separately for under-reporting of income.

Sd/-
(Assessing Officer)
Assessment Unit, Income Tax Department

Copy to:

1. The assessee
2. The Pr. CIT, Pune-1 (fictitious)
3. Guard file

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